

Calendar Line 6

Case Name: Zermeno v. FRC Balance LLC dba True Food Kitchen (Class Action)
Case No.: 24CV438842

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on July 30, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. Introduction

This is a putative class action arising from alleged violations of wage and hour laws. On May 13, 2024, plaintiff Jacqueline Zermeno began this action by filing a Class Action Complaint against defendant FRC Balance LLC dba True Food Kitchen (“Defendant”). On September 4, 2024, Plaintiff filed the operative First Amended Complaint (“FAC”), asserting the following causes of action: (1) failure to compensate for all hours worked; (2) failure to provide meal and rest periods; (3) failure to pay final wages on time; (4) failure to maintain accurate records; (5) failure to furnish wage and hour statements; (6) wrongful termination in violation of public policy; (7) discrimination and harassment; (8) failure to prevent and investigate discrimination and harassment; (9) failure to provide reasonable accommodation; (10) failure to engage in interactive process; (11) violation of California Family Rights Act (“CFRA”)/ Family Medical Leave Act (“FMLA”) rights; (12) intentional infliction of emotional distress; (13) unfair business practices; (14) violation of Private Attorneys General Act (“PAGA”).

According to the FAC’s allegations, Plaintiff began her employment with Defendant in early 2017 by working fulltime as a bartender. (FAC, ¶13.) In November 2023, Plaintiff requested all or more most of the December 2023 off from work to go to Mexico with her family, but her request was not approved. (*Id.* at ¶¶ 15-17.) Plaintiff left for her vacation, and when she came back to work she was alerted that she was being suspended. (*Id.* at ¶¶ 21-22.) Plaintiff’s last full day of work was November 24, 2023, and she received verbal notice of termination on January 5, 2024. (*Id.* at ¶ 25.) Plaintiff alleges, among other things, that she and

putative class members were not consistently authorized or permitted to take meal and rest breaks and did not receive applicable premiums in lieu thereof. (*Id.* at ¶¶ 26-29.)

Now before the Court is Defendant’s motion to compel arbitration, dismiss class claims, dismiss or stay representative PAGA claims, and stay proceedings. The Court previously continued this hearing from July 30 for counsel to provide certain missing exhibits, and counsel has done so. The Court has reviewed papers, and for the reasons discussed below, DENIES the motion to compel arbitration.

II. Legal Standard

In ruling on a motion to compel arbitration, the Court must inquire as to (1) whether there is a valid agreement to arbitrate, and (2) if so, whether the scope of the agreement covers the claims alleged. (See *Howsan v. Dean Witter Reynolds* (2002) 537 U.S. 79, 84.) “Under both federal and state law, the threshold question presented by a petition to compel arbitration is whether there is an agreement to arbitrate. [Citations.] The threshold question requires a response because if such an agreement exists, then the court is statutorily required to order the matter to arbitration.” (*Fleming v. Oliphant Financial, LLC* (2023) 88 Cal.App.5th 13, 19, internal quotation marks omitted.) The agreement at issue expressly provides that it is governed by the Federal Arbitration Act.

“The FAA [Federal Arbitration Act], which includes both procedural and substantive provisions, governs [arbitration] agreements involving interstate commerce.” (*Avila v. Southern California Specialty Care, Inc.* (2018) 20 Cal.App.5th 835, 840.) However, “[t]he procedural aspects of the FAA do not apply in state court absent an express provision in the arbitration agreement.” (*Ibid.*) Here, the agreement expressly provides that it “shall be governed by” the FAA. (See *Rodriguez v. American Technologies, Inc.* (2006) 136 Cal.App.4th 1110, 1122 “[t]he phrase ‘pursuant to the FAA’ is broad and unconditional,” and unambiguously adopts both the procedural and substantive aspects of the FAA.)

Under the FAA, the court must grant a motion to compel arbitration if any suit is brought upon “any issue referable to arbitration under an agreement for such arbitration” (9 U.S.C. § 3), subject to “such grounds as exist at law or in equity for the revocation of any

contract...” (9 U.S.C. § 2). The moving party must prove by a preponderance of evidence the existence of the arbitration agreement and that the dispute is covered by the agreement. (See *Cruise v. Kroger Co.* (2015) 233 Cal.App.4th 390, 396 [under both federal and state law, “the threshold question presented by a petition to compel arbitration is whether there is an agreement to arbitrate”]; *Rosenthal v. Great Western Fin’l Securities Corp.* (1996) 14 Cal.4th 394, 413 (*Rosenthal*) [moving party’s burden is a preponderance of evidence].) A moving party can meet their initial burden by showing that an agreement to arbitrate the dispute exists. (*Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060 (*Espejo*).) The burden then shifts to the resisting party to prove a ground for denial. (*Rosenthal, supra*, 14 Cal.4th at p. 413.)

“In determining the rights of parties to enforce an arbitration agreement within the FAA’s scope, courts apply state contract law while giving due regard to the federal policy favoring arbitration.” (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236.)

But the FAA’s policy favoring arbitration ... is merely an acknowledgment of the FAA’s commitment to overrule the judiciary’s longstanding refusal to enforce agreements to arbitrate and to place such agreements upon the same footing as other contracts. Or in another formulation: The policy is to make arbitration agreements as enforceable as other contracts, but not more so. Accordingly, a court must hold a party to its arbitration contract just as the court would to any other kind.

(*Morgan v. Sundance, Inc.* (2022) 596 U.S. 411 (*Morgan*), internal citations and quotation marks omitted; see also *Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562, 569 [“California policy, like federal policy, puts arbitration agreements on equal footing with other types of contracts”].)

III. Discussion

A. Existence of Agreement to Arbitrate

The moving party bears the burden of proving the existence of an agreement arbitrate by a preponderance of the evidence. As one Court of Appeal summarized,

[T]he moving party bears the burden of producing “prima facie evidence of a written agreement to arbitrate the controversy.” (*Rosenthal, supra*, 14 Cal.4th at p. 413.) The moving party “can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party’s] signature.” (*Bannister v. Marinidence Opco, LLC* (2021) 64 Cal.App.5th 541, 543–544 [279 Cal. Rptr. 3d 112] (*Bannister*).) Alternatively, the moving party can meet its burden by setting forth the agreement’s provisions in the motion. (*Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 219 [105 Cal. Rptr. 2d 597] (*Condee*); see also Cal. Rules of Court, rule 3.1330 [“The provisions must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference.”].) For this step, “it is not necessary to follow the normal procedures of document authentication.” (*Condee*, at p. 218.) If the moving party meets its initial prima facie burden and the opposing party does not dispute the existence of the arbitration agreement, then nothing more is required for the moving party to meet its burden of persuasion.

If the moving party meets its initial prima facie burden and the opposing party disputes the agreement, then in the second step, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement. (See *Condee, supra*, 88 Cal.App.4th at p. 219.) The opposing party can do this in several ways. For example, the opposing party may testify under oath or declare under penalty of perjury that the party never saw or does not remember seeing the agreement, or that the party never signed or does not remember signing the agreement. [Citations.]

If the opposing party meets its burden of producing evidence, then in the third step, the moving party must establish with admissible evidence a valid arbitration agreement between the parties. The burden of proving the agreement by a preponderance of the evidence remains with the moving party. (*Rosenthal, supra*, 14 Cal.4th at p. 413.)

(*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165–166.)

To establish the existence of an agreement to arbitrate, Defendant submits the declaration of Katherine Scheopner, who currently holds the position of Senior People Business Partner for Defendant. (See Defendant’s Memorandum of Points and Authorities (“MPA”), pp. 1:16 – 4:4; see also Declaration Katherine Scheopner, (“Scheopner Decl.”), ¶ 1.) According to Defendant’s personnel records, Defendant hired Plaintiff on April 13, 2017, as a bartender at its Palo Alto location. (Scheopner Decl. at ¶ 4.) As part of Plaintiff’s post-offer onboarding process, True Food presented Plaintiff with a stand-alone document titled Arbitration Agreement (the “Agreement”). (*Id.* at ¶ 4 and Ex. 1.) Plaintiff signed and dated the

Agreement by hand on April 13, 2017. (*Ibid.*) The Agreement states that Defendant and Plaintiff “agree that any claim or controversy arising from, or relating in any way to, [Plaintiff’s] employment relationship ... shall be submitted to, and shall be resolved through, final and binding arbitration” (*Ibid.*)

The copy of the Agreement submitted with Ms. Scheopner’s declaration bears Plaintiff’s signature. By producing a signed copy of the Agreement, Defendant has established the existence of an agreement to arbitrate between itself and Plaintiff. Therefore, Defendant has met its initial burden by submitting prima facie evidence of a written agreement to arbitrate the claims asserted in the action. (*Espejo, supra*, 246 Cal.App.4th at p. 1060 [a defendant may meet their initial burden “by attaching a copy of the arbitration agreement purportedly bearing the opposing party’s signature”].)

Plaintiff initially contends that the Court should deny the motion because Defendant did not carry its burden of proving a valid arbitration agreement. (Plaintiff’s Opposition to Defendant’s Motion Compel Arbitration (“Opposition”), pp. 6:22 – 7:21.) Plaintiff argues that Defendant failed to provide a declaration from a witness to the alleged signing of the Agreement in 2017. Plaintiff also submits her declaration in which she states she recalls being presented with a stack of new-hire paperwork that she was told she needed to sign.¹ (Declaration of Jacqueline Zermeno (“Zermeno Decl.”), ¶ 3.)

Plaintiff further states that she does not recall a document titled “Arbitration Agreement” or that anyone explained or mentioned such a document to her, and she has no memory of signing the Agreement included in Defendant’s motion. (Zermeno Decl., ¶ 4.) Plaintiff asserts that her lack of recollection puts the existence of the Agreement “in issue,” relying upon *Ruiz v. Moss Bros. Auto Group, Inc.*, (2014) 232 Cal.App.4th 836 (*Ruiz*). In *Ruiz*, the trial and appellate courts both concluded that the defendant did not prove by a preponderance of the evidence the plaintiff was the person who electronically signed the agreement at issue. (*Id.* at p. 842.) The appellate court emphasized that the defendant never explained how the plaintiff’s printed electronic signature came to be placed on the arbitration

¹ Defendant’s evidentiary objections to the Declaration of Jacqueline Zermeno are OVERRULED.

agreement, nor did the defendant explain how it ascertained that the electronic signature on the agreement was the act of the plaintiff. (*Id.* at p. 844.)

In reply, Defendant argues that it properly authenticated the Agreement and that Plaintiff does not dispute her signature. (Reply, pp. 1:23 – 3:3.) Relying upon *Espejo, supra*, 246 Cal.App.4th 1047, and *Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747 (*Iyere*), Defendant argues that Plaintiff's asserted lack of recollection regarding her signature on the Agreement does not create a factual dispute as to whether the signature is authentic.

Here, the Court finds that Defendant has produced sufficient evidence to establish the existence of an agreement to arbitrate. While Plaintiff relies primarily upon *Ruiz* in asserting that the Agreement has not been authenticated, in that case, the signature in question was a printed electronic signature. (*Ruiz, supra*, 232 Cal.App.4th at pp. 843-844.) As the *Iyere* court explained, different evidence is required to authenticate an electronic signature:

While handwritten and electronic signatures once authenticated have the same legal effect, there is a considerable difference between the evidence needed to authenticate the two. Authenticating an electronic signature if challenged can be quite daunting. An individual cannot affirm or disavow an electronic signature from the face of a computer printout, but an individual normally can recognize or disavow a handwritten signature that purports to be his or her own. If a party confronted with his or her handwritten signature on an arbitration agreement is unable to allege that the signature is inauthentic or forged, the fact that that person does not recall signing the agreement neither creates a factual dispute as to the signature's authenticity nor affords an independent basis to find that a contract was not formed.

(*Iyere, supra*, 87 Cal.App.5th at p. 758, internal citations omitted.) Although Plaintiff asserts that she does not recall signing the Agreement, she does not assert that she did not sign the Agreement, nor that the hand-written signature appearing in her name on the Agreement is not in her handwriting.

Furthermore, even if Plaintiff's lack of recollection was sufficient to shift the burden of production back to Defendant, Ms. Scheopner's declaration identifies the Agreement as being the document presented to Plaintiff at the time of her hiring and kept among Defendant's records in the regular course of its business. Plaintiff did not object to Ms. Scheopner's attestation that the document attached as Exhibit 1 to her declaration was a true and correct copy of the Agreement, nor did they object to the

receipt of the document into evidence. Plaintiff admits to being handed a set of documents to sign at the time of her hiring, and “[i]t is hornbook law that failing to read an agreement before signing it does not prevent formation of a contract. [Citation.]” (*Iyere, supra*, 87 Cal.App.5th at p. 759.)

Accordingly, the Court finds that Defendant has met its burden of establishing the existence of agreement to arbitration by a preponderance of the evidence.

B. Unconscionability

Plaintiff contends the Arbitration Agreement is both procedurally and substantively unconscionable and that it cannot be redeemed by severance. (Opposition, pp. 7:22 – 10:4.) A showing that an arbitration agreement is unconscionable can bar its enforcement. (*Diaz v. Sohnen Enterprises* (2019) 34 Cal.App.5th 126, 132 (*Diaz*).) “The doctrine has both a procedural and substantive element, the former focusing on oppression or surprise due to unequal bargaining power, the latter on overly harsh or one-sided results. Both elements must be present for a court to refuse enforcement.” (*Ibid.*, internal quotation marks and citations omitted.)

The procedural element addresses the circumstances of contract negotiation and formation, focusing on oppression or surprise due to unequal bargaining power. [Citations.] Substantive unconscionability pertains to the fairness of an agreement's actual terms and to assessments of whether they are overly harsh or one-sided.

(*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 125 (*OTO*), quoting and citing *Pinnacle, supra*, 55 Cal.4th at p. 246.)

1. Procedural Unconscionability

Procedural unconscionability may occur where there is “oppression that arises from unequal bargaining power and the surprise to the weaker party that results from hidden terms or the lack of informed choice.” (*Ajamian v. CantorCO2e, L.P.* (2012) 203 Cal.App.4th 771, 795.) For example, “oppression” may be found where an agreement was not explained to an employee, the time spent reviewing the agreement was docked from the employee’s pay, and the employee was under the impression that an

immediate signature was required. (*OTO*, 8 Cal.5th at pp. 127-128.) “Surprise” may be shown where the agreement is extremely wordy with complex sentences and legal jargon and written in an extremely small font. (*Ibid.*)

Courts have considered employment contracts provided on a “take-it-or-leave-it” basis to be procedurally unconscionable to some extent. (See *Farrar v Direct Commerce, Inc.* (2017) 9 Cal.App.5th 1257, 1266; see also *Baltazar v. Forever 21, Inc.* (2016) 62 Cal.4th 1237, 1243-1245 [discussing a sliding scale and varying degrees of procedural and substantive unconscionability; “[t]he ultimate issue is whether the terms of the contract are sufficiently unfair, in view of all relevant circumstances, that a court should withhold enforcement’].) The “adhesive aspect of an agreement is not dispositive. [Citation].” (*Peng v. First Republic Bank* (2013) 219 Cal.App.4th 1462, 1470; see also *Ramirez v. Charter Communications* (2024) 16 Cal.5th 478, 492-493 (*Ramirez*) [while adhesion contracts are subject to scrutiny, “they remain valid and enforceable unless the resisting party can also show that one or more of the contract’s terms is substantively unconscionable or otherwise invalid”].)

Plaintiff contends that the Agreement is procedurally unconscionable because it is a contract of adhesion. (Opposition, pp. 8:3 - 9:1.) She asserts that there is an element of surprise because the Agreement simultaneously waives her right to bring an action as a private attorney general while also stating that PAGA actions are excluded from the agreement. Plaintiff also points to *Velarde v. Monroe Operations* (2025) 111 Cal.App.5th 1009 (*Velarde*) in support of her contention that the Agreement is unconscionable. (*Id.* at pp. 5:24 – 6:5.) Defendant acknowledges that the Agreement is adhesive but maintains that *Velarde* is distinguishable and any procedural unconscionability in this case is limited. (See Reply, pp. 3:6 – 5:6.)

In *Velarde*, the appellate court found that there was ample evidence of procedural unconscionability. (*Velarde, supra*, 111 Cal.App.5th at p. 1015.) The court pointed out that the contract was adhesive because the employer presented it to the employee and explained that she had to sign it in order to begin working. (*Ibid.*) In addition, the employer in *Velarde* pressured her into agreeing to arbitration by “giving

her little to no time to review the terms” while the HR manager stood and waited for her to sign. (*Ibid.*)

Velarde explicitly told the HR manager she did not understand what the agreement meant. In response, the HR manager misinformed Velarde that the agreement would give Newport Healthcare the power to resolve all disputes between it and Velarde without either party having to pay to for lawyers. This was manifestly untrue, as the agreement required the parties to resolve all covered disputes in an adversarial arbitration before an arbitrator in which all parties would bear their own attorney fees.

(*Id.* at pp. 1015-1016.)

Here, while it is undisputed that the Agreement is an adhesion contract, there is no indication or allegation that Defendant misrepresented the terms of the Agreement or stood and waited for her to sign. While Plaintiff asserts that no one explained the Agreement to her, she does not assert that she expressed misunderstanding of the document or that there was any misrepresentation related to the meaning of the Agreement. Therefore, while the Court finds that there is at least minimal procedural unconscionability due to the adhesive nature of the contract, there is no indication of the additional procedurally unconscionable factors that were present, for example, in *Velarde*. Furthermore, Plaintiff must also establish substantive unconscionability

2. Substantive Unconscionability

“Substantive unconscionability looks beyond the circumstances of contract formation and considers the fairness of an agreement’s actual terms focusing on whether the contract will create unfair or one-sided results. Substantively unconscionable contractual clauses reallocate risks in an objectively unreasonable or unexpected manner.” (*Ramirez, supra*, 16 Cal.5th at p. 493, internal punctuation and citations omitted; see also *Vo v. Technology Credit Union* (2025) 108 Cal.App.5th 632, 641.) “A contract term is not substantively unconscionable when it merely gives one side a greater benefit; rather, the term must be so one-sided as to shock the conscience.” (*Pinnacle, supra*, 55 Cal.4th at p. 246, internal punctuation and citations omitted.)

The test is whether the terms impair the integrity of the bargaining process or otherwise contravene public policy, or the terms “attempt to alter in an impermissible manner

fundamental duties otherwise imposed by the law” or “negate the reasonable expectations of the nondrafting party.” (*Sonic-Calabasas A., Inc. v. Moreno* (2013) 57 Cal.4th 1109, 1145.)

Plaintiff contends the Agreement is substantively unconscionable because it contains an express waiver of the right to bring a representative PAGA claim, because its purported non-delegation clause is unconscionable, and because it lacks mutuality. (Opposition, p. 9:2-22.) Defendant disputes each of these points. (See Reply, pp. 1:13-18 and 5:8 – 9:10.) Defendant asserts that the court must compel arbitration of Plaintiff’s individual PAGA claims because the Agreement calls for arbitration of disputes between Plaintiff and Defendant individually. (See MPA, p. 8:4-10.)

The Agreement here provides that actions may not brought as a private attorney general but also that actions under PAGA are excluded from the Agreement. (See Agreement, p. 1.) The parties dispute the applicability of the United States Supreme Court’s decision in *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639 (*Viking River*), which discussed and overruled in part the California Supreme Court’s decision in *Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348 (*Iskanian*). In July 2023, the California Supreme Court issued its decision in *Adolph v. Uber Technologies, Inc.* (2023) 14 Cal.5th 1104 (*Adolph*), discussing both *Viking Rivier* and *Iskanian*.

In *Iskanian*, the California Supreme Court held that a pre-dispute categorical waiver of the right to bring a PAGA action is unenforceable. (See *Adolph*, 14 Cal.5th at p. 1117.) *Viking Rivier* left this rule undisturbed. (*Ibid.*) The *Viking River* court held that “the FAA preempts the rule of *Iskanian* insofar as it precludes division of PAGA actions into individual and non-individual claims through an agreement to arbitrate.” (*Viking River, supra*, 596 U.S. at p. 662.) The *Adolph* decision makes clear that, in the wake of the United States Supreme Court’s decision in *Viking River*, a PAGA action can have “individual” and “non-individual” claims, and a court may issue an order compelling arbitration of the individual PAGA claims without affecting the plaintiff’s ability to litigate the non-individual PAGA claims. (*Adolph, supra*, 14 Cal.5th at p. 1114 “[w]here a plaintiff has brought a PAGA action comprising individual and non-individual claims, an order compelling arbitration of the individual claims does not strip

the plaintiff of standing as an aggrieved employee to litigate claims on behalf of other employees under PAGA”].)

According to Plaintiff, the entire Agreement is substantively unconscionable because it contains an express waiver of right to bring a PAGA Claim. (Opposition, p. 9:5-7.) The Court is not persuaded because the Agreement expressly states that excepted are “claims brought under the California Private Attorneys’ General Act, Cal. Lab. Code §§ 2698, et seq. and any claims that cannot be compelled to be submitted to mandatory arbitration under applicable federal or state law.” (Agreement, p. 1.) As such, the Agreement does not contain a wholesale waiver of the right to bring PAGA claims. To the contrary, the Court interprets the plain language of Agreement to exclude all PAGA claims from its reach. Plaintiff fails to sufficiently support its remaining arguments regarding substantive unconscionability. The Court finds the delegation clause to be clear, and Plaintiff provides no authority in support of her position that the Agreement here is substantively unconscionable due to a lack of mutuality.

Accordingly, the Court finds that the Plaintiff has not established that the Agreement should not be enforced because it is both procedurally and substantively unconscionable. (See *Diaz, supra*, 34 Cal.App.5th at p. 132 [both procedural and substantive unconscionability must be present for court to refuse enforcement].)

C. Whether Plaintiff’s PAGA Claim May be Compelled to Arbitration

Plaintiff contends that Defendant’s motion to compel her PAGA claim to arbitration must be denied because the Agreement expressly excludes PAGA claims. (Opposition, pp. 10:5 – 12:2.) Plaintiff argues that any conflict between the PAGA waiver and the PAGA exclusion must be resolved by giving full effect to the explicit exclusion of her PAGA claim from arbitration. Defendant counters that this Court should follow *Piplack v. In-N-Out Burgers* (2023) 88 Cal.App.5th 1281 (*Piplack*) regarding the interpretation of PAGA claims and sever the claim into individual and representative components. (Reply, pp. 7:24 – 8:22.)

In *Piplack*, the arbitration agreements at issue required the plaintiffs pursue any claims arising out of their employment with defendant through arbitration under the FAA. (*Piplack, supra*, 88 Cal.App.5th at p. 1285.)

The agreements also contained a private attorney general waiver, which provided, “There will be no right or authority for any dispute to be brought, heard or arbitrated as a private attorney general action (‘Private Attorney General Waiver’).” This waiver was severable under two different clauses. The first provided the waiver was severable “in any case in which (1) the dispute is filed as a private attorney general action and (2) a civil court of competent jurisdiction finds the Private Attorney General Waiver is unenforceable. In such instances, any private attorney general claim must be litigated in a civil court of competent jurisdiction.” The second stated, “The ... Private Attorney General Waiver ... shall be severable in any case in which the dispute is filed as an individual action and severance is necessary to ensure that the individual action proceeds in arbitration.”

(*Ibid.*)

The *Piplack* decision explains: “*Viking’s* modification to the rules set forth by the California Supreme Court in *Iskanian* created the present rule: arbitration agreements between employers and employees that require arbitration of the individual portion of a PAGA claim are enforceable, but arbitration agreements that require arbitration (or waiver) of the representative portion of a PAGA claim are not enforceable.” (*Piplack*, *supra*, 88 Cal.App.5th at p. 1288.) The plaintiffs in *Piplack* argue that, even after *Viking River*, the arbitration agreements there required their claims to be heard in court. (*Ibid.*) The *Piplack* court disagreed, stating that after *Viking River* all PAGA claims are properly understood as being comprised of individual and representative components. (*Ibid.*) The court explained that the individual and representative PAGA claims were severable by virtue of FAA preemption, that the agreement in that case made clear that the “Private Attorney General Waiver ... shall be severable in any case in which the dispute is filed as an individual action and severance is necessary to ensure that the individual action proceeds in arbitration.” (*Id.* at pp. 1288-1289.)

While Defendant asks this Court to apply the same reasoning to this case, the Agreement here contains different language applicable to PAGA claims. Significantly, the Agreement here states that actions brought under PAGA are excluded from the Agreement, without making any distinction between individual or representative claims – unlike the agreement in *Piplack*. This case is also distinguishable from *Piplack* because there the court applied a severability clause to compel the individual component of the PAGA claim to arbitration. Here, while Defendant asserts that the Court should sever unenforceable

provisions, it does not direct the Court to any provision of the Agreement resembling that in *Piplack*.² (See MPA, pp. 13:27 – 14:6, Reply, pp. 9:11 – 10:16.)

Instead of applying a severability provision to sever a PAGA claim into individual and representative components, the Court in this case is asked to apply a provision that excludes PAGA claims from the Agreement entirely. Defendant points to the phrase concluding the list of excluded claims: “and any claims that cannot be compelled to be submitted to mandatory arbitration under applicable federal or state law,” and asks the Court to give it the meaning of the severability language set forth in the agreement at issue in *Piplack*. Nevertheless, in the Court’s view, the specific language of the Agreement in this case does not support Defendant’s proposed interpretation because it effectively asks the Court to re-write the Agreement and give it an effect different than what the parties actually expressed in their written contract. While it may have been the drafter’s intention to exclude individual PAGA claims from the scope the Agreement in accordance with *Viking River*, the Agreement here simply excludes “claims under the California Private Attorneys’ General Act” without making any reference to individual or representative claims in any way.

Accordingly, while the Court does not find that the Agreement is unenforceable because it is unconscionable, Plaintiff persuasively argues that her PAGA claims are expressly excluded from the scope of the Agreement by its terms. As Defendant’s motion pertains only to Plaintiff’s PAGA claims, the Court’s interpretation of the Agreement does not support granting any portion of the motion. Therefore, the motion is DENIED in its entirety.

IV. Conclusion

Defendant’s motion is DENIED.

The prevailing party shall prepare the order in accordance with California Rules of Court, rule 3.1312.

² The Court observes the copy of the Agreement provided contains a page numbered “1” with the arbitration agreement provisions and a page numbered “3” with Plaintiff’s signature, but it does not contain a page numbered “2.”

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